Just how prevalent is coupon fraud, and how long has it been a problem? In December of 1977, the CFCP Company introduced Breen detergent to the New York market. Their introductory 25¢ coupon, delivered via a free-standing insert, saw a 2.5 percent redemption rate, translating to more than 70,000 first-time users of Breen. The only problem: there was no detergent named Breen. CFCP stood for Coupon Fraud Control Program, and every coupon redeemed was for a product that didn't exist from a manufacturer that also didn't exist.

In August of that year, the US Postal Service asked Blair Marketing to create a sting operation that would catch crooks without disrupting legitimate redemption. The bogus detergent was at the center of the first major coupon fraud offensive in US history. On December 11, 1977, editions of the *Daily News*, *Newsday*, and *Newark Star Ledger* all carried the Breen coupon. None of the newspapers knew they were running a fake coupon, but the firms that submitted it had to have known they were guilty of misredemption since no such brand existed and they couldn't possibly have sold it.

As a result of the sting operation, twenty-six retailers were indicted by the Brooklyn District Attorney on charges ranging from scheming to defraud to grand larceny. Four of the retailers were charged exclusively for their actions in fraudulently redeeming the Breen coupon, having submitted from 24,000 to 117,000 of them.

That sting and others since then have revealed several forms of coupon fraud: